

02:00 PM

25-CIV-03512 LUXONE LLC VS. DAVID PELLONE

LINE 4

LUXONE LLC
DAVID PELLONE

MARK POE

RESPONDENT: DAVID PELLONE'S MOTION FOR AWARD OF ATTORNEYS' FEES

TENTATIVE RULING:

Respondent David Pellone's motion for reasonable attorney's fees is DENIED.

On May 7, 2025, Petitioner Luxon LLC initiated this action by filing a petition to compel arbitration concerning a dispute arising from a real estate sale contract with Respondent David Pellone. (Petition, filed May 7, 2025.)

California Civil Code § 1717(a) provides that "[i]n any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract ... shall be entitled to reasonable attorney's fees in addition to other costs."

Respondent argues that he is entitled to reasonable attorney's fees under § 1717(a) for prevailing on the petition to compel arbitration in this action. Respondent argues that the fees are warranted pursuant to a clause allowing for such in the Purchase and Sale Agreement ("PSA") between the parties regarding the real estate transaction underlying their dispute. (Sheldon Decl., Ex. 1, PSA.) The provision allows for the awarding "reasonable attorneys' fees and all court or arbitration costs" to the prevailing party in "any legal action, arbitration, or other proceeding between Buyer and Seller arising out of this Contract." (*Id.*, Ex. 1 at 27.G.)

The issue is before the Court is whether Respondent is a prevailing party for the purpose of recovering attorney's fees under Civil Code § 1717. On the one hand, Respondent has prevailed on the petition to compel arbitration in this action. On the other hand, the parties' underlying disputes are still being litigated in Respondent's action.

Respondent relies predominately on *Turner v. Schultz* (2009) 175 Cal.App. 4th 974, 977. Respondent argues that, like *Turner*, arbitrability was determined in this standalone action filed by Petitioner, separate from Respondent's action concerning the dispute arising from the contract. Petitioner argues that his case is akin to *DisputeSuite.com, LLC v. Scoreinc.com* (2017) 2 Cal.5th 968, in which the California Supreme Court held that a party who prevailed on a motion to dismiss based on a forum selection clause was not a prevailing party for the purposes of § 1717 because the parties' underlying claims were not resolved, but only moved to a different forum. (*Id.*, at p. 981-92.)

The Court finds the facts here distinguishable from *Turner* and more akin to *DisputeSuite*.

In *Turner*, a dispute arose between a former employee (Turner) and his employer (and other parties) regarding alleged false representations made to induce Turner into a share buyout agreement. (*Turner*, 175 Cal.App.4th at 977.) Turner refused to participate in arbitration absent a court order. (*Id.*) Turner filed an action in Contra Costa County Superior Court on the underlying disputes. (*Id.*) Shortly thereafter, Turner brought a separate action in the San Francisco Superior Court seeking a declaration that defendants could not proceed in arbitration relating to the agreement until first obtaining a court order, and further seeking an injunction requiring the American Arbitration Association to stay its proceedings until such an order was obtained. (*Id.*, at 978.) There, the trial court granted a motion for judgment on the pleadings against Turner and subsequently granted a motion for attorney's fees incurred by the defendants. (*Id.*) The Court of Appeal upheld the ruling, holding that "irrespective of who becomes the prevailing party in the subsequent arbitration, there was a prevailing party for purposes of section 1717 in this discrete proceeding on the contract, and the trial court could properly award attorney fees." (*Id.*, at 983-84.) The Court concluded its ruling by specifically noting that "[i]t was Turner who initiated both actions; he must accept the consequences of forcing defendants to fight on two fronts."

In *DisputeSuite*, the California Supreme Court distinguished *Turner*, in part, on the basis that *DisputeSuite* did not choose to make the opposing party "fight on two fronts." (*DisputeSuite*, 2 Cal.5th at 980.) Further, the relief sought in *Turner* is distinct from the relief sought in this action. Here, Petitioner sought only to compel arbitration of the parties' underlying dispute, a basic step in resolving a dispute arising from contract where the parties disagree on the applicability of an arbitration clause. In *Turner*, Turner's second action, filed separately from his first action on the underlying dispute, sought declaratory relief declaring that the defendants must obtain a court order before proceeding with arbitration, and further sought to enjoin the American Arbitration Association from proceeding with arbitration of the parties' dispute without such an order.

Accordingly, the Court finds that *DisputeSuite* controls here. The denial of Petitioner's petition to compel arbitration did not make it the prevailing party as matter of law under section 1717, as the parties' underlying disputes for (among other things) breach of contract remain pending in this Court.

Accordingly, Respondent Pellone's motion for attorney's fees is DENIED without prejudice.

Any party who contests a tentative ruling must email Dept11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

02:00 PM

25-CIV-06722

MARK DALY VS. FCA US LLC, A DELAWARE LIMITED LIABILITY COMPANY

LINE 5

MARK DALY
FCA US LLC, A DELAWARE LIMITED LIABILITY COMPANY

ROGER KIRNOS
MEGHAN MCKAY

DEFENDANT FCA US LLC'S MOTION AND MOTION TO COMPEL ARBITRATION AND STAY ACTION

TENTATIVE RULING:

For the reasons stated below, Defendant FCA US, LLC's ("FCA" or "Defendant") "Motion to Compel Arbitration and Stay Action," filed Dec. 2, 2025, is GRANTED. The case is HEREBY STAYED pending completion of the arbitration.

Plaintiff's May 18, 2026 Objections to Evidence are OVERRULED. The Court agrees that Defendant's counsel lacks personal knowledge of what occurred at the time that Plaintiff signed the Agreement to Arbitrate. But authentication rules are somewhat relaxed in the context of a motion to compel arbitration. The moving party need only establish, by a preponderance of the evidence, that Plaintiff entered into an agreement to arbitrate. Here, **especially** where Plaintiff has not denied signing the Agreement to Arbitrate, the foundation/authentication objections are not well-taken.

On March 20, 2024, Plaintiff leased a new 2024 Jeep Wrangler from Future CDJR of Concord. (McKay Decl., ¶ 2. Ex. A-B.) During the lease process, Plaintiff executed both a Lease agreement with the dealer, and a separate, stand-alone, "Agreement to Arbitrate" ("Agreement to Arbitrate," or "Agreement"), which stated that Plaintiff agreed to arbitrate any claims that Plaintiff might have against FCA. (Id.)

Code Civ. Proc. §§ 1281.2 and 1290.2 create a summary proceeding for resolving petitions to compel arbitration. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) The petitioner bears the initial burden of proving the existence of an arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (*Id.*) The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination. (*Id.*)

A party meets its burden of establishing the existence of the arbitration agreement by providing a copy thereof to the Court, or by stating the paragraph verbatim. (*Baker v. Italian Maple Holdings, LLC* (2017) 13 Cal.App.5th 1152, 1160; Cal. Rules of Court, rule 3.1330.) Here, FCA attaches the Agreement to Arbitrate that Plaintiff signed at the time of the lease. (McKay Decl., ¶ 2. Ex. A-B.) This meets FCA's burden of setting forth a prima facie showing that Plaintiff agreed to arbitrate his claims against FCA. Plaintiff does not dispute, and could not reasonably dispute, that the broad language of the Agreement to Arbitrate encompasses the warranty claims that Plaintiff asserts against FCA.

Plaintiff's arguments that FCA has not provided sufficient foundation for, or authentication of, the Agreement to Arbitrate, are unpersuasive. Again, Plaintiff does not contest that he signed the Agreement to Arbitrate.
